As the private sector becomes capable of playing the proper role in producing and supplying the private goods, state saves its important human and economic resources which is transferred to take care of the public goods' production and distribution.

Basically, the WB study, the *East Asian Miracle* (1993) recognises the above-given shift of one kind of mixed economy to the another kind of mixed economy—in the case of the Malaysian, Thai and S. Korean economies—taking place since the mid-1960s. Experts believe that this shift could not take place in time in India. And once it started (1991–92) it was too late and this choice was not voluntary but obligatory. The East Asian economies had gone for the same kind of reform process but by their choice.

SECTORS OF AN ECONOMY

Every economy tries to maximise the returns of economic activities in which it is involved. Whatever be the organising principles of an economy, the economic activities are broadly classified into three broad categories which are known as the three sectors[6] of the economy:

(i) Primary Sector

This sector includes all those economic activities where there is the direct use of natural resources as agriculture, forestry, fishing, fuels, metals, minerals, etc. In some of the economies, mining activities are considered a part of secondary sector though we see direct use of natural resources here. Broadly, such economies term their agricultural sector as the primary sector. This is the case in India.

(ii) Secondary Sector

This sector is rightly called the manufacturing sector which uses the produce of the primary sector as its raw materials. Since the manufacturing is done by the industries this sector is also called the industrial sector—bread and biscuits, cakes, automobiles, textiles, etc.